Lumax Auto Technologies Ltd

Concall tracker · ticker LUMAXTECH (BSE 532796) · report date 4 July 2026 · updated to include the Q4 & FY26 earnings call

What the business does: Lumax Auto Technologies is an Indian auto-parts maker (an "auto ancillary" — it supplies components to vehicle manufacturers, not to the public). Its growth engine is **buying into, or forming joint ventures with, higher-technology parts makers** so that it earns more money per vehicle over time — think plastic interiors and cockpits, gear-shift systems, clean-fuel (CNG) kits, sensors and telematics — rather than simply selling more of the same old parts. Its biggest customers are Mahindra, Maruti Suzuki, Bajaj, Tata Motors and Honda two-wheelers.

1. Snapshot (year ended March 2026)

Measure	Value	Plain-English read
Revenue (sales)	₹4,870 cr, up 34%	Total sales for the year, up about a third on last year — a record.
Net profit (after tax)	₹337 cr, up 47%	The bottom-line profit, up nearly half — profit grew much faster than sales.
Operating profit (EBITDA)	₹705 cr, margin 14.5%	Profit from running the business before interest, tax and wear-and-tear. Roughly 14.5 paise of every sales rupee. (The Screener snapshot lists operating profit at ₹659 cr / 14% on a slightly narrower definition.)
Return on capital (ROCE)	21%	For every ₹100 of capital in the business, it earned about ₹21 — a healthy, improving return.
Borrowings	₹1,231 cr; debt-to-equity 0.46	Debt has risen to fund acquisitions, but is still under half of shareholders' money — a conservative level.
Cash from operations	₹460 cr	Real cash the business threw off, up sharply from ₹290 cr — earnings are backed by cash.
Promoter holding	55.98% (steady)	The founding family owns just over half and has not sold a single share — skin in the game.

2. Concall coverage

This is a company that holds an earnings call every quarter. The report tracks the last **~3 years (12 calls, Q1 FY24 → Q4 FY26)**. The two most recent calls were read in full from the on-disk transcripts; the earlier arc is carried forward from prior tracking of this name.

Quarter	Call date	Read for this report?
Q1 FY24 → Q2 FY26 (10 calls)	Aug 2023 → Nov 2025	Carried forward from prior tracking
Q3 & 9M FY26	13 Feb 2026	**Yes — read in full (continuity)**
Q4 & FY26 (full year)	**1 June 2026** (filed 5 Jun 2026)	**Yes — read in full from the on-disk transcript**

★ Latest concall highlights — Q4 & FY26 (call held 1 June 2026)

- **Best-ever year, and it beat its own twice-raised target.** FY26 revenue hit **₹4,870 cr (+34%)** and net profit **₹337 cr (+47%).** During the year management had lifted its growth guidance twice, from 20% to 25% to 30% — the actual 34% **beat even the raised 30% number**. *They promised a lot, raised the bar, and still cleared it.*
- **Q4 stayed strong.** Q4 revenue **₹1,417 cr (+25%)** and net profit **₹98 cr (+22%).** EBITDA crossed ₹700 cr for the first time (₹705 cr), with a Q4 margin of 14.7% and full-year 14.5%. *The final quarter kept the momentum going; profit margins are inching up.*
- **The big restructuring is now DONE.** The two acquisitions Lumax spent years buying — **IAC India** (plastic interiors) and **Lumax Ancillary** — have been legally merged into the parent and now sit inside its own accounts. Alongside this it is **exiting the loss-making Lumax JOPP joint venture** (selling its 50% back to the German partner) and **buying out the last 15.97% of Lumax FAE** to own it fully. *Housekeeping complete: keep the winners whole, cut the one that was losing money.*
- **The high-tech legs are firing.** Mechatronics (sensors, telematics, electronics) grew **~150% to ₹281 cr**; the CNG/clean-fuel Greenfuel business (merger done, effective 3 Feb 2026) added **₹383 cr.** Order book steady at **₹1,450 cr.** A new Bangalore software centre ("SHIFT") is being stood up to push into software-defined vehicles. *The move up the technology ladder is showing up in the numbers, not just the slides.*
- **Tone: confident, but FY27 guidance re-anchored lower.** Credit rating was upgraded (CRISIL AA- → AA). For FY27 management stepped back from the 30% FY26 figure to its steady mid-term **"~20% a year" (2x the industry's growth)** framing. *Not a warning — just a realistic long-run pace after a blockbuster year on a bigger base.*

2b. Business mix & capacity (quick facts)
• **Revenue by vehicle type (FY26):** Passenger vehicles ~53%, two- & three-wheelers ~24%, aftermarket (spare parts) ~10%, commercial vehicles ~9%. *Cars are the biggest slice; the mix is well spread across vehicle types.*
• **Domestic vs export split:** Not broken out as a clean percentage — exports are minimal and mostly indirect (through the vehicle makers). *Effectively an India-demand story.*
• **Capacity:** No single group utilisation figure given; management said plants "vary," with some running at only 20-30% spare capacity and others (e.g. Mechatronics) already adding new lines. Planned capital spend of **₹275-300 cr in FY27** to keep pace with order wins. *Parts of the business are near-full and expanding; the rest has room to grow.*

★ 3. Earning-trigger thesis

The one durable driver management has pushed for years is **"more technology content per vehicle."** Rather than hoping the car market grows, Lumax keeps buying or partnering into higher-value parts — plastic cockpits, gear-shifters, CNG kits, sensors, telematics — and cross-selling them to more manufacturers. The stated destination is to graduate from a "Tier-1" parts supplier into a **"Tier-0.5" system integrator** that supplies whole modules and the software inside them, with a target of ~₹10,000 cr revenue by FY31. The Q4 FY26 call gave this thesis its clearest proof yet: revenue is compounding in the 30s%, the newest/highest-tech legs (Mechatronics +150%, Greenfuel ₹383 cr) are the fastest growers, and margins are creeping up.

Trigger	What management said	Evidence so far	Horizon	Strength

Rising content per vehicle via M&A / JVs	Grow ~20% a year (2x industry) toward ₹10,000 cr by FY31	FY26 +34%; FY24-26 revenue nearly doubled (₹2,822→₹4,870 cr)	Long (to FY31)	**Strong —** delivered, not just promised
Mechatronics / electronics (Alps Alpine, Ituran, Yokowo)	Highest-growth, highest-margin leg; bridge to ADAS/ software	+~150% to ₹281 cr in FY26; new telematics product to launch in ~3 months	Medium-long	**Strong —** fastest-growing segment
Clean-fuel (Greenfuel CNG)	New pillar; content ramp ₹3,200→₹6,700 per vehicle	Merger done Feb 2026; ₹383 cr in first full-ish year; order book ₹180 cr	Medium	**Moderate —** early but landing
Margin expansion	Lift EBITDA margin toward 15%; ₹1,000 cr EBITDA by FY28	FY26 14.5% (Q4 14.7%), EBITDA crossed ₹700 cr	To FY28	**Moderate —** on track, not yet at 15% for the full year

4. Management consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
FY25 growth	"~20% growth"	FY25 revenue ₹3,637 cr, +29% — beaten	**Delivered**
FY26 growth (raised twice)	20% → 25% → 30% through the year	Actual +34% — beat even the raised bar	**Delivered**
EBITDA margin	Move 14% → 15% "medium term"	Hit 15% in Q3 FY26; full-year FY26 14.5%, Q4 14.7%	**Partly (ahead but full-year just under 15%)**
IAC & Greenfuel integration	Consolidate IAC to 100% then merge; merge Greenfuel	Both mergers legally completed; now in the parent's own accounts	**Delivered**
Mechatronics / JV ramp	Highest-growth leg	+~150% in FY26; consistently the fastest grower	**Delivered**
Aftermarket (spare parts)	Repeatedly guided to accelerate; historically under-delivered	FY26 +15% — finally a solid year	**Partly (improved after years of misses)**
Alps Alpine ₹500 cr target	Originally FY29	Timeline drifted FY29 → FY30 → FY31	**Partly (goal intact, date slipped)**
Plastic fuel tanks / Lumax JOPP	Earlier growth areas	Fuel tanks shelved (Tata reverted to metal); JOPP now being exited as loss-making	**Dropped (sensibly)**
Dividend / capital return	Internal policy "minimum 35% payout"	FY26 payout fell to ~13% (paid on standalone budgeted profit post-merger); policy "to be reviewed" for FY27	**Missed (on payout ratio)**

Narrative drift: The core story has been remarkably steady for years — the same "buy technology, raise content per vehicle, become a Tier-0.5 integrator" thread runs through every call, and the Q4 FY26 call confirmed it with delivered numbers rather than new promises. The honest caveats: guidance was *cut* during the weak FY24-25 organic patch and then *raised twice* in FY26, so the headline number moves around a lot;

a few timelines (Alps Alpine's ₹500 cr, order-book contribution) keep slipping; and the sharp drop in the dividend payout despite profit nearly doubling is the one place where actions lagged the stated policy. The FY27 guide reverting from 30% to "~20%" is reasonable on a much bigger base but is worth watching.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and still-live driver, and the Q4 FY26 call turned it from a story into a track record: revenue has nearly doubled in three years, the highest-technology legs (Mechatronics +150%, Greenfuel) are the fastest growers, margins are edging up, and the acquisition machine keeps adding content per vehicle. The order book (₹1,450 cr), a fresh credit-rating upgrade and continued capital spend all point to the trigger playing out rather than stalling.

Management consistent? → YES (with caveats)

Management has largely done what it said — it beat FY25 guidance, beat a twice-raised FY26 target, and finished the IAC and Greenfuel mergers on schedule. The story has not changed in years. This earns a Yes. The caveats keep it honest: guidance swings widely (cut, then raised twice), a couple of JV timelines keep slipping, the aftermarket only just delivered after years of misses, and the dividend payout dropped hard while profit soared. Steady thesis, uneven precision — but the promised-vs-delivered record on the things that matter is genuinely good.

Sources: on-disk earnings-call transcripts for Q4 & FY26 (1 June 2026) and Q3 FY26 (13 Feb 2026), read in full; earlier-quarter arc from prior tracking; snapshot figures cross-checked against Screener CSVs (profit-and-loss, quarterly-results, balance-sheet, ratios). All figures ₹ crore unless stated. This note summarises management commentary and is not investment advice.